



eBay – Depop

MN-45002

Phase 1 Determination

Acquisition may be put into effect

12 May 2026

1. Determination

Notified acquisition	eBay Inc. (eBay)'s proposed acquisition of 100% of the share capital in Depop Limited (Depop) (together, the Parties) from Etsy, Inc. (Etsy) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, eBay, is a multinational e-commerce company headquartered in San Jose, California. eBay operates a general online retail marketplace, facilitating both business-to-consumer (B2C) and consumer-to-consumer (C2C) transactions across a wide range of new and used product categories, including fashion, electronics, automotive parts and collectibles. The target, Depop, is a multinational e-commerce company headquartered in London and a wholly owned subsidiary of Etsy. Depop operates a mobile-first online retail marketplace, focused on pre-owned fashion, with an emphasis on social discovery and peer-to-peer transactions. Depop is predominantly active in the United States, Australia and the United Kingdom.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Overlap between the parties

- 2.4. eBay and Depop both provide online marketplaces that enable sellers to create listings for pre-owned fashion items (for example, clothing, shoes, accessories, handbags and watches) and buyers to search for and purchase those items.
- 2.5. eBay operates a general online retail marketplace that includes pre-owned fashion as a category, as well as a broad range of other product categories, such as electronics, automotive parts and collectibles. It offers multiple selling formats, including fixed price, live selling, and auctions. eBay also provides integrated payments and delivery

options, buyer protection policies and seller performance standards. eBay has operated in Australia since 1999.

- 2.6. Depop is a mobile-first online retail marketplace that focuses on pre-owned fashion. It has a range of social discovery features, such as algorithmically curated feeds and the ability for buyers to follow other users and 'like' items.
- 2.7. Depop is primarily oriented towards C2C transactions, although there is a cohort of business sellers that use Depop regularly. Sales typically take place through a series of in-app 'offers', and Depop provides integrated payments, with sellers in Australia arranging shipping themselves. Depop has operated in Australia since 2020.

Industry background

- 2.8. Online marketplaces that include categories for pre-owned fashion typically involve a digital platform that provides a website or application ('app'), which allows sellers to list items for sale. Sellers upload information regarding the product for sale including size (or measurements), condition (e.g., Like-New, Excellent, Good), brand, photographs, and a price. Potential purchasers can generally search by keyword or browse by category, with different search filters available depending on product type (e.g., Size, Condition, etc.).
- 2.9. Online marketplaces may facilitate sales through taking payment, or buyers and sellers may arrange to meet in person and process the sale outside the platform. Items listed for sale on the digital platform may come primarily from business sellers or consumer sellers, or from a mix of both. Similarly, while there are two distinct user groups: buyers and sellers, many individuals who buy items will also sell items, and they may do so using the same platform.
- 2.10. Online marketplaces can be general (offering a broad range of product categories) or specialised in one category (e.g. fashion, cars, watches). eBay, Facebook Marketplace and Gumtree are examples of general online marketplaces, while Depop, Vestiaire Collective, Chrono24, StockX and GOAT are examples of platforms which focus on a particular product category (i.e., fashion).
- 2.11. Online marketplaces are also multi-sided, which means they create value from attracting both sellers (inventory) and buyers (audience). As multi-sided platforms, they exhibit network effects—more listings draw more buyers, which in turn attracts more sellers. As inventory and audience numbers increase on a platform, this improves the platform's ability to attract more users to its site and increase the number of items available for sale.
- 2.12. At the same time, user preferences are heterogeneous, and platforms may differentiate successfully by focusing on distinct categories or customer needs.
- 2.13. Users of online marketplaces may multi-home, and this may occur on both the buyer side and seller side (for example, a buyer browsing multiple platforms for the best price or buying different types of clothes from different platforms, or a seller maintaining listings across more than one platform at a time). However, multi-homing is more frictionless for buyers than for sellers, because sellers typically must create listings, manage queries, update item availability and coordinate shipping and returns on each platform they use.

- 2.14. Competition between online marketplaces occurs across multiple dimensions, including in relation to fees, ease of listing, search and discovery functionality, trust and safety settings, and shipping and payment options.

Competition assessment

- 2.15. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

Relevant areas of competition

- 2.16. The ACCC has considered whether the Acquisition is likely to substantially lessen competition in the supply of online marketplace services for C2C pre-owned fashion to sellers and/or buyers in Australia.
- 2.17. The ACCC has had regard to information and documents provided by the Parties (including demographic data on eBay and Depop sellers) as part of its assessment. However, the ACCC did not find it necessary to reach a concluded view on whether online marketplace services for C2C pre-owned fashion to sellers and/or buyers constitutes a distinct market or a segment of a broader market.

Horizontal unilateral effects in the supply of online marketplace services for C2C pre-owned fashion in Australia

- 2.18. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of online marketplace services for C2C pre-owned fashion in Australia. The ACCC finds that, while the Acquisition would remove competition between eBay and Depop, post-acquisition, eBay would continue to face competition from alternative suppliers
- 2.19. The ACCC's view, based on the information and documents provided by the Parties and market participants, is that:
- There are several online marketplaces which feature C2C pre-owned fashion, but eBay and Depop are currently the largest suppliers that offer buyers and sellers integrated services for listing, messaging and payments.
 - Since entering Australia in 2020, Depop has rapidly increased its market share through a differentiated business model compared to other online marketplaces, with a stronger focus on discovery and social media.
 - eBay has more recently focused on growing its C2C business, including through eBay's acquisition of Tise in 2025, and subsequent expansion of Tise into Australia in 2026.
 - eBay and Depop monitor and respond to each other in Australia. However, there is limited overlap between eBay and Depop pre-owned fashion sellers: during the last 3 years, only a small proportion of sellers on eBay sold a pre-owned fashion item on Depop in the same year, and vice versa.
 - eBay and Depop are also somewhat differentiated in terms of their format and users—eBay is more search-driven with an older demographic, whereas Depop is more discovery-driven with a younger demographic.

- While network effects may create barriers to entry and expansion, online marketplaces for pre-owned fashion are a growing and dynamic segment, with competition driven in part by each platform's ability to attract and retain new users.
- The likely, timely and sufficient entry of a new platform will ensure eBay continues to face competition from alternative suppliers.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act